

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$85.02 ▼ 1.82%	12M Price Target \$92.00	52-Week Range \$63.52 – \$153.86	Market Cap \$76.43B
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HOOD: Great Earnings, Ugly Reaction — Prediction Markets Are The Story

WHAT HAPPENED

- HOOD beat earnings but the stock is down ~11% this week and got price target cuts from Goldman and Barclays. Classic "sell the news" — expectations were sky-high (stock was at \$153 in the spring), so even great numbers weren't enough. Bernstein is the outlier calling for 78% upside.
- The real headline: prediction markets are now generating MORE revenue than crypto trading. That's a massive shift in the business mix — HOOD is becoming a betting platform as much as a broker.

WHY IT MATTERS

The bear case here isn't about the business — records on revenue, deposits, and Gold subscribers speak for themselves. It's about valuation reset: the stock ran too far, too fast, and now smart money (see the unusual put buying at \$107, \$115, \$120 strikes — that's institutions betting the stock stays below those levels or hedging existing longs) is taking profits. The prediction markets pivot is a double-edged sword: huge growth runway, but it puts HOOD squarely in the crosshairs of the CFTC and state gambling regulators. Watch for a bounce once the earnings-related selling exhausts itself — the fundamentals are strong enough that \$80-ish should hold unless the broader market cracks.

POLICY & POLITICAL WATCH

The Trump administration's crypto-friendly stance (SAB 121 repeal, the pro-innovation SEC under Atkins, the stablecoin GENIUS Act signed earlier this month) is a direct tailwind for HOOD's crypto business. BUT — prediction markets are the wildcard: the CFTC under acting chair Pham has been permissive on event contracts (Kalshi won its court battle, and HOOD partnered with them), but any state AG or Congressional pushback framing these as "gambling" could hit the fastest-growing revenue line. Also watch the pending market structure legislation (CLARITY Act) — if it passes, it locks in crypto rules and removes overhang for HOOD.

IS IT EXPENSIVE?

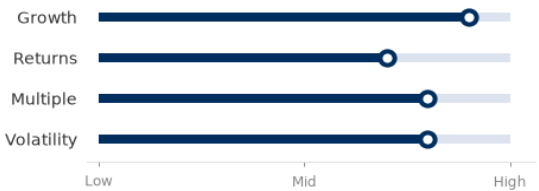
At \$85 and ~46x forward earnings, you're paying \$46 for every \$1 of expected profit next year — expensive versus Schwab (~18x) or IBKR (~28x), but HOOD is growing revenue 3x faster. The question isn't whether it's "cheap" — it's whether the prediction markets and crypto growth engines keep firing. If they do, the multiple's fine; if event contracts get regulated into oblivion, this trades to \$60 fast.

WHAT COULD GO WRONG

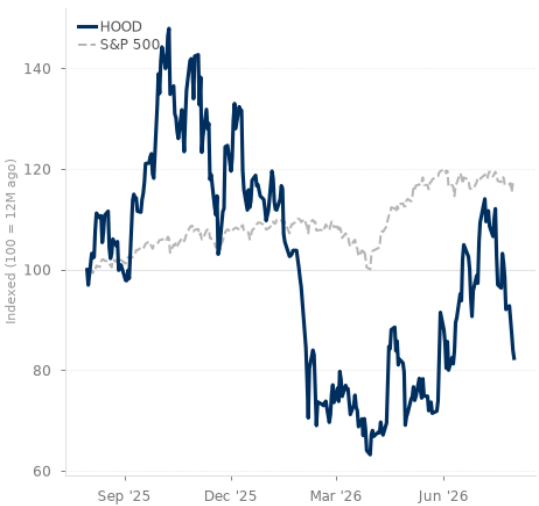
Key Data

Price (USD)	\$85.02
12M Price Target	\$92.00
Upside / (Downside)	+8.2%
Market Cap	\$76.43B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	46.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$95.00	\$85.00	\$75.00
6 Months	\$115.00	\$92.00	\$70.00
1 Year	\$140.00	\$100.00	\$65.00
2 Years	\$180.00	\$120.00	\$55.00
5 Years	\$260.00	\$160.00	\$45.00
10 Years	\$450.00	\$240.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+2.87% today, +5.67% on the week) — money is chasing risk-on plays as the Fed's expected September cut gets priced in. Crypto-adjacent names benefiting from the friendly regulatory posture.

COOLING OFF: Financials (-0.33%) and Energy (-0.46%) — traditional financials lagging as capital markets fee compression bites, energy under pressure from soft oil.

ROTATION WATCH: Money is rotating from mega-cap AI (Meta/MSFT capex concerns from last night) into higher-beta consumer and fintech names — normally a tailwind for HOOD, but the earnings-reaction selling is overwhelming that flow this week.

RELATED PLAY: If HOOD's prediction markets are legit, look at Kalshi's ecosystem partners and DraftKings (DKNG) — they're all fighting for the same wallet share in "everything-betting."

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto regulatory tailwinds; direct HOOD comp on digital asset revenue.
- IBKR (Interactive Brokers): Boring but consistently compounding — takes share when HOOD stumbles on volatility.

HOOD CONTEXT: HOOD is LAGGING its peer group this month after leading it for most of 2026. That's usually a valuation reset, not a business problem — but it tells you the easy money on this name has been made. From here you need real execution, not just multiple expansion, to grind higher.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Business is firing on all cylinders, but the stock got ahead of itself and the regulatory tail risk on prediction markets is real. Not pounding the table, but not running away either.

POSITION SIZE: 2-4% of portfolio — high-beta name that can swing 20% on news, so size it where you can sleep through a bad week.

ENTRY POINTS: I'd let it come to me at \$78-82. If it breaks \$75 on regulatory news specifically (not just market fear), pause and reassess before adding.

TIME HORIZON: 12-18 months — waiting on CLARITY Act passage and 2-3 more quarters of prediction market data to see if this is a real business or a fad.

WHEN TO BAIL: State AG lawsuit against prediction markets, Gold subscriber growth stalls, or crypto volumes drop >30% quarter-over-quarter.

HEDGING: Buy a protective put 10-15% below your entry — costs you a bit of upside but caps the "regulatory shock" downside. Or pair with a short position in COIN to isolate the HOOD-specific thesis.